ME 492 — The lectures as text

Every word from the slides, with the padding taken out. Nothing is reworded.

What this is. The six decks hold 406 slides, mostly one sentence each. That is slow to read. Here the same words sit as running text, with each slide numbered so you can always go back to the deck. Where several slides share a heading, the heading is printed once and the slides run underneath it.

What was removed. Only the date stamp and the slide number that repeat on every slide. Nothing else.

Not here. Lecture 05, the marketing plan, is a deck of pictures with almost no text, so there is nothing to lift. Read the slides themselves, and section 8 of the study guide beside them. The course outline is not examined.

Contents

Lecture 01 · Entrepreneurship and free enterprise

88 slides. Page numbers in `01-….pdf` match the slide numbers here.

ME 492 slides 1

1 Lecture 1

MANAGEMENT & ENTREPRENEURSHIP DEVELOPMENT

Prof. S.H.M. AIKINS

INTRODUCTION slides 2

2 *Picture only. Nothing to read. Open slide 2 in the deck if you need it.*

Entrepreneurship & Free Enterprise slides 3–5

3 What is Entrepreneurship?

Entrepreneurship is defined as the process of starting a business.

4 What is Entrepreneurship?

Entrepreneurship is the practice of starting new organisations or revitalizing mature organisations, particularly new businesses generally in response to identified opportunities.

5 Entrepreneurship

Entrepreneurship is often a difficult undertaking, as a vast majority of new businesses fail.

Entrepreneurship slides 6–12

6 Entrepreneurial activities are substantially different depending on the type of organisation that is being started.

7 Entrepreneurship ranges in scale from solo projects (even involving the entrepreneur only part-time) to major undertakings creating many job opportunities.

8 Many "high-profile" entrepreneurial ventures seek venture capital or angel funding (seed money) in order to raise capital to build the business.

9 Venture capital is financing that investors provide to startup companies and small businesses that are believed to have long-term growth potential.

10 Angel investors generally seek returns of 20 – 30 % and more extensive involvement in the business.

11 An angel investor (also known as a business angel, informal investor, angel funder, private investor, or seed investor) is an affluent individual who provides capital for a business start-up, usually in exchange for convertible debt or ownership equity.

12 Many kinds of organisations now exist to support would-be entrepreneurs, including specialized government agencies, business incubators, science parks, and some Non-Governmental Organisations (NGOs).

History of Entrepreneurship slides 13–24

13 The understanding of entrepreneurship owes much to the work of economist Joseph Schumpeter and some Austrian Economists, etc.

14 Entrepreneurs do things that are not generally done in the ordinary sense of business (Schumpeter, 1934).

15 Entrepreneurship is one of the four mainstream economic factors: land, labour, capital and entrepreneurship.

16 The word “entrepreneurship” derived from the 17th century French entreprendre, refers to individuals who were “undertakers” meaning those who “undertook” the risk of new enterprise.

17 They were “contractors” who bore the risks of profit or loss, and many early entrepreneurs were soldiers of fortune, adventurers, builders, merchants, and incidentally, funeral directors.

18 How the term “undertaker” became associated with funerals is a mystery, but there is considerable body of literature on entrepreneurship.

19 Early references to the entreprendeur in the 14th century spoke about tax contractors – individuals who paid a fixed sum of money to a government for license to collect taxes in their region.

20 Tax entreprendeurs bore the risk of collecting individual taxes.

21 If they collected more than the sum paid for their licenses, they made profits and kept the excess.

22 If they failed to collect enough to match the cost of their licenses, government officials, who already had their money from license fees, could care less.

23 Economics & Entrepreneurship

Richard Cantillon, a French economist of Irish descent, is credited with giving the concept of entrepreneurship a central role in economics.

24 Richard Cantillon described an entrepreneur as a person who pays a certain price for a product to resell it at an uncertain price, thereby making decisions about obtaining and using resources while consequently assuming the risk of enterprise.

Economics and Entrepreneurship slides 25–58

25 A critical point in Cantillon’s argument was that entrepreneurs consciously make decisions about resource allocations.

Consequently, astute entrepreneurs would always seek the best opportunities for using resources for their highest commercial yields.

26 Richard Cantillon played out his theory in real life, becoming a wealthy arbitrageur (i.e. a person who engages in arbitrage) investing in European ventures, dealing in monetary exchange, and controlling commodities, such as farm produce, to auction in high-demand markets.

27 Arbitrage is the simultaneous buying and selling of securities, currency, or commodities in different markets or in derivative forms in order to take advantage of differing prices for the same asset.

28 Richard Cantillon’s vision is illustrated for farm produce in Figure 1.

29 `

Figure 1: Cantillon’s Early View of Entrepreneurial Behaviour

Investment	Transformation	Profit or loss
Entrepreneur buys farm produce at certain prices	Entrepreneur repacks and transports farm produce to market	Entrepreneur sells food produce in city at uncertain prices

30 Adam Smith spoke of the “enterpriser” in his 1776 Wealth of Nations as an individual who undertook

the formation of an organisation for commercial purposes.

31 Adam Smith

He thereby ascribed to the entrepreneur the role of industrialist, but he also viewed the entrepreneur as a person with unusual foresight who could recognize potential demand for goods and services.

32 Adam Smith

In Smith's view, entrepreneurs reacted to economic change, thereby becoming the economic agents who transformed demand into supply.

33 Jean Baptiste Say

French economist Jean Baptiste Say, in his 1803 Traité d'économie politique (translated into English in 1845 as A Treatise on Political Economy), described an entrepreneur as one who possessed certain arts and skills of creating new economic enterprises, yet a person who had exceptional insight into society's needs and was able to fulfil them.

34 Jean Baptiste Say

Say, therefore, combined the "economic risk taker" of Cantillon and the "industrial manager" of Smith into an unusual character.

35 Jean Baptiste Say

Say's entrepreneur influenced society by creating new enterprises and at the same time was influenced by society to recognise needs and fulfil them through astute management of resources.

36 John Stuart Mill

In 1848, British economist John Stuart Mill elaborated on the necessity of entrepreneurship in private enterprise.

37 The term entrepreneur subsequently became common as a description of business founders, and the "fourth factor" of economic endeavour was entrenched in economic literature as encompassing the ultimate ownership of commercial enterprise.

38 Mill's work, however, was among the last of the early economic studies in Britain or France that recognised entrepreneurship as central to economic theory.

39 For the greater part of the next hundred years, British and French economists were more concerned with models of macroeconomics, and most of these were reduced to precise mathematical formulae.

40 The human side of enterprise – the role of the adventurer or risk-taking entrepreneur – was left for history.

41 During that time however, there was an important movement in Austria that subsequently influenced our 20th century concept of entrepreneurship.

42 Carl Menger

Carl Menger (1840 – 1871) established the "subjectivist perspective of economics" in his 1871 Principles of Economics.

43 Carl Menger

In Menger's view, economic change does not arise from circumstances but from an individual's awareness and understanding of those circumstances.

44 The entrepreneur becomes, therefore, the change agent who transforms resources into useful goods and services, often creating circumstances that lead to industrial growth.

45 Menger envisioned a causal chain of events whereby resources having no direct use in terms of fulfilling human needs were transformed into highly valued products that directly fulfilled human needs; this is the classic theory of production.

46 However, Menger saw the entrepreneur as an astute individual who could envision this transformation and create the means to implement it.

47 Menger assigned priority numbers to different events (or circumstances) in this chain so that a high priority event would have a low number (e.g. 1) and would be an ultimate "end use" to satisfy a human need such as providing consumers with baked loaves of bread.

48 At the other extreme, Menger assigned a low priority event with a high number (e.g. 8) and this might represent a raw material needed to create the number 1 event; fields of unharvested wheat would have a low priority.

49 The entrepreneur, in Menger's view, was able to see both extremes and conceive of ways to transform the unharvested wheat into fresh bread.

50 Joseph Schumpeter

Joseph Schumpeter (1883 – 1950), an Austrian Economist, described entrepreneurship as a force of "creative destruction" whereby established ways of doing things are destroyed by the creation of new and better ways to get things done.

51 Joseph Schumpeter

Entrepreneurship is often a subtle force, challenging the order of society through marginally small changes, but in Schumpeter's view, it can be extraordinarily powerful, like the transformation of crude oil into an energy resource.

52 Joseph Schumpeter

Schumpeter described entrepreneurship as a process and entrepreneurs as innovators who use the process to shatter the status quo through new combinations of resources and new methods and commerce.

53 According to Schumpeter, the entrepreneur seeks to reform or revolutionize the pattern of production by exploiting an invention or, more generally, an untried technological possibility for producing a new commodity or producing an old one in a new way, by opening up a new source of supply of materials or a new outlet for products.

54 Entrepreneurship, as defined, essentially consists in doing things that are not generally done in the ordinary course of business routine.

55 Schumpeter did not equate entrepreneurs with inventors, suggesting instead that an inventor might only create a new product, whereas an entrepreneur will gather resources, organise talent, and provide leadership to make it a commercial success.

56 This viewpoint was mirrored by Peter Drucker (1909 – 2005), who described the entrepreneurial role as one of gathering and using resources, but he added that "resources, to produce results, must be allocated to opportunities rather than to problems."

57 In Drucker's view, entrepreneurship occurs when resources are redirected to progressive opportunities, not used to ensure administrative efficiency.

58 This redirection of resources distinguishes the entrepreneurial role from that of the traditional management role, a distinction that Henry Ford made in his decisions.

Entrepreneurship: slides 59–60

59 Robert Ronstadt's Definition

Entrepreneurship is the dynamic process of creating incremental wealth. This wealth is created by individuals who assume the major risks in terms of equity, time, and/or career commitment of providing value for some product or service.

60 Robert Ronstadt's Definition

The product or service itself may or may not be new or unique but value must somehow be infused by the entrepreneur by securing and allocating the necessary skills and resources.

Who is an Entrepreneur? slides 61–63

61 Is the local fuel station owner an entrepreneur?

The (Estate Agent) realtor, the butcher, the franchise computer retailer?

Are there entrepreneurs in corporations? In schools? In government?

62 There are no short answers to these questions, and there are no formal guidelines for classifying entrepreneurs.

There is no entrepreneurial licensing procedure and no evidence of professional status.

63 An entrepreneur is an innovator or developer who recognizes and seizes opportunities; converts these opportunities into workable/marketable ideas; adds value through time, effort, money, or skills; assumes the risks of the competitive marketplace to implement these ideas; and realizes the rewards from these efforts.

Corporate Entrepreneurship slides 64

64 Corporate Entrepreneurship, sometimes referred to as intrapreneurship, is concerned with innovation that leads to new corporate divisions or subsidiary ventures in established, larger firms.

What is an Intrapreneurship? slides 65

65 Intrapreneurship refers to entrepreneurial activities that receive organisational sanction and resource commitments for the purpose of innovative results.

What Makes Someone an Entrepreneur? slides 66–73

66 Who can become an entrepreneur?

There is no one definitive profile.

Successful entrepreneurs come in

various ages,

income levels,

gender, and

race.

67 They (entrepreneurs) differ in education and experience. But research indicates that most successful entrepreneurs share certain personal attributes, including:

68 1. creativity,

2. dedication,

3. determination,

4. flexibility,

5. leadership,

6. passion,

7. self-confidence, and

The former (common sense joined with knowledge) gives a person good instincts, the latter (experience in a related business or endeavour), expertise.

80 Smarts

Many people have smarts they don't recognize.

A person who successfully keeps a household on a budget has organisational and financial skills.

Employment, education, and life experiences all contribute to smarts.

Characteristics of Successful Entrepreneurs slides 81

81

Self-confident and optimistic	Energetic and diligent
Able to take calculated risk	Creative, need to achieve
Respond positively to challenges	Dynamic leader
Flexible and able to adapt	Responsive to suggestions
Knowledgeable of markets	Take initiatives
Able to get along well with others	Resourceful and persevering
Independent minded	Perceptive with foresight
Versatile knowledge	Responsive to criticism

What is a small business? slides 82

82 A Small Business is one that does not dominate its industry, has less than $10 million in annual sales, and has fewer than 1,000 employees.

What is a Small Business? (In Ghana) slides 83

83

	Workshop	Investment
Micro	1 – 9	Up to $10,000
Small	6 – 29	Up to $100,000
Medium	30 – 99	Up to $1,000,000
Large	100 or above	Over $1,000,000
National Board for Small Scale Industries (NBSSI)		

What is a Family Enterprise? slides 84–85

84 Family enterprises are locally owned and operated, often by one person called a sole proprietor.

85 Personal Service Firms rely crucially on unique skills of their founders or key employees.

In most instances, the business is the person, and succession is unlikely unless a son or daughter develops comparable skills.

What is a Franchise? slides 86

86 A Franchise is a business system created by a contract between a parent company, called the franchisor, and the acquiring business owner, called the franchisee, giving the acquiring owner the right to sell goods or services, to use certain products, names, or brands, or to manufacture certain products.

Obstacles That Prevent People From Starting Businesses slides 87

87 (And How To Overcome Them) – (FINCFAP)

1. Financial limitations

2. Inexperience

3. No standout idea

4. Current responsibilities

5. Fear of failure

6. Aversion to stress or hard work

7. Poor timing

What is a Franchise? slides 88

88 A Franchise is any arrangement in which the owner of a trademark, trade name, or copyright has licensed others to use it to sell goods or services.

Lecture 02 · Creativity and innovation

90 slides. Page numbers in `02-….pdf` match the slide numbers here.

ME 492 slides 1

1 Lecture 2

MANAGEMENT & ENTREPRENEURSHIP DEVELOPMENT

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CREATIVITY AND INNOVATION slides 2

2 *Picture only. Nothing to read. Open slide 2 in the deck if you need it.*

Creativity and Innovation slides 3

3 The terms creativity and innovation are often used to mean the same thing, but each has a unique connotation.

Creativity slides 4–7

4 Creativity is the "ability to bring something new into existence."

5 This definition emphasizes the "ability," not the "activity," of bringing something new into existence.

6 A person may therefore conceive of something new and envision how it will be useful, but not necessarily take the necessary action to make it a reality.

7 Creativity is the spark that drives the development of new products or services or ways to do business.

It is the push for innovation and improvement.

It is continuous learning, questioning, and thinking outside of prescribed formulas.

Innovation slides 8–13

8 Innovation results from the ability to see, conceive, and create new and unique products, processes, or services.

9 Entrepreneurs see opportunities in the marketplace and visualize creative ways to take advantage of them.

10 Innovation is the process of doing new things. This distinction is important.

11 Ideas have little value until they are converted into new products, services, or processes.

12 Innovation, therefore, is a transformation of creative ideas into useful applications, but creativity is a prerequisite to innovation.

13 Innovation is the process by which entrepreneurs convert opportunities into marketable ideas.

It is the means by which they become catalysts for change.

The Creative Process slides 14–17

14 The five stages of the creative process include:

1. Idea Germination (The seeding stage of a new idea)

2. Preparation (Conscious search for knowledge: Rationalisation)

3. Incubation (Subconscious assimilation of information: Fantasizing)

4. Illumination (Recognition of idea as being feasible: Realization)

5. Verification (Application or test to prove idea has value: Validation)

15 Idea Germination

1. Germination is when the seed of an idea is implanted, arising from one's curiosity or interest in a problem or area of study.

16 Idea Germination

The germination stage is a seeding process.

It is not like planting seed as a farmer does to grow maize, but more like the natural seeding that occurs when pollinated flower seeds, scattered by the wind, find fertile ground to take root.

17 Idea Germination

Exactly how an idea is germinated is a mystery, it is not something that can be examined under a microscope.

However, most creative ideas can be traced to an individual's interest in or curiosity about a specific problem or area of study.

ALEXANDER GRAHAM BELL slides 18–19

18 *Picture only. Nothing to read. Open slide 18 in the deck if you need it.*

19 *Picture only. Nothing to read. Open slide 19 in the deck if you need it.*

The Creative Process slides 20–38

20 Preparation

Once a seed of curiosity has taken form as a focused idea, creative people embark on a conscious search for answers.

Inventors will set up laboratory experiments,

designers will begin engineering new ideas, and

marketers will study consumer buying habits.

21 Preparation

2. During preparation, a person embarks on research and a conscious search for bringing the idea to life.

22 Preparation

Although this 'search seldom produces results, a creative person becomes "prepared" by gathering information and knowledge related to the problem.

23 Preparation

Any individual with an idea will consequently think about it, concentrating his or her energies on rational extensions of the idea on how it might become a reality.

24 Preparation

In rare instances, the preparation stage will produce results.

More often, conscious deliberation will only overload the mind, but the effort is important in order to gather information and knowledge vital to an eventual solution.

25 3. During the incubation stage, a person "sleeps on the problem," often for years of periodic subconscious reflection on the idea or the problem to be solved.

26 Incubation

[Incubation: the embryonic development of an animal within an egg.]

maintaining something at the most favourable temperature for its development.

27 Incubation

Individuals sometimes concentrate intensely on an idea, but more often, they simply allow ideas time to grow without intentional effort.

Incubation is a stage of "mulling it over" (think over) while the subconscious intellect assumes control of the creative process.

28 4. Illumination occurs when the idea surfaces through incubation, often seeming to have been a sudden flash of genius when, in fact, it was the culmination of conscious preparation and subconscious incubation.

29 Illumination

Illumination: The fourth stage, illumination, occurs when the idea resurfaces as a realistic creation.

There is a moment in time when the individual can say, "Oh, I see!"

30 Illumination

Illumination may be triggered by an opportune incident.

The important point is that most creative people go through many cycles of preparation and incubation, searching for that incident as a catalyst to give their idea full meaning.

31 Illumination

When a cycle of creative behaviour does not result in a catalytic event, the cycle is repeated until it blossoms or dies.

This stage is very critical for entrepreneurs because ideas, by themselves, have little meaning.

32 Illumination

Reaching the illumination stage separates daydreamers (and tinkerers) from creative people who find a way to transmute (transform) value.

33 5. Once the idea becomes clear, a person will seek to verify it.

Verification is the process of determining whether the idea has merit – whether it is useful and realistic.

34 Verification

An idea once illuminated in the mind of an individual still has little meaning until verified as realistic and useful.

35 Verification

Entrepreneurial effort is essential to translate an illuminated idea into a verified, realistic, and useful application.

36 Verification

Verification is the development stage of refining knowledge into application.

This is often tedious and requires perseverance by an individual committed to finding a way to harvest the practical results of his or her creation.

37 Verification

During this stage, many ideas fall by the wayside as they prove to be impossible or have little value.

38 Verification

More often, a good idea has already been developed, or the aspiring entrepreneur finds that competitors already exist.

Inventors quite often come to this harsh conclusion when they seek to patent only to discover similar inventions registered.

How Innovation is important as a dimension of Entrepreneurship slides 39–42

39 Innovation is defined as the process of doing new things.

Therefore, it is often the active translation of a creative idea into a new product, service, or technology.

40 Innovation is different from invention.

Invention is the verified result of a creative idea;

innovation is the conversion of something new into useful goods or services.

41 With that distinction in mind, innovation is perhaps the heart of entrepreneurship.

Entrepreneurs may also be inventors, but they take the action necessary to redirect resources and convert creations into reality.

42 They build organisations and systems needed to champion ideas and to exploit opportunities.

Innovation slides 43–44

43 If creativity is the seed that inspires entrepreneurship, innovation is the process of entrepreneurship.

44 Innovation is the means by which the entrepreneur creates new wealth producing resources or endows existing resources with enhanced potential for creating wealth.

WINDOWS & CORRIDORS slides 45–52

45 Windows

A window is a time horizon during which opportunities exist.

46 Windows

This can occur, for example, when a new change in technology takes place so that intrepid (courageous; bold) innovators rush to become early industry leaders.

47 Windows

As opportunities for success become known, however, more competitors enter the industry, and the window rapidly closes with market saturation.

48 Windows

A window is a time horizon during which opportunities exist before something else happens to eliminate them.

49 Windows

A unique opportunity, once shown to produce wealth, will attract competitors, and if the business is easy to enter, the industry will become rapidly saturated.

50 Windows

Bicycles did not become viable commercial products until people needed them as transportation.

When that occurred, hundreds of bicycle manufacturers rushed to take advantage of the “window of opportunity.”

51 Windows

Literally every successful product and service has had an optimal period of time for commercialisation.

Those introduced too early have usually failed, and those introduced too late suffered from crowded markets.

52 Windows

Entrepreneurs, therefore must not only recognise opportunities, but also take advantage of them while windows exist to be successful.

CORRIDORS slides 53–56

53 Corridor Principle

The corridor principle suggests that successful ventures evolve from entrepreneurs being positioned in similar work or having had experience with related ventures so that when a window opens it is easy for them to move quickly into a new venture.

54 Corridor Principle

A corollary (consequence; result; conclusion) is that as a venture becomes expert in one activity, related opportunities evolve and many of them are more rewarding than the initial activity.

55 A corridor is a route or an aisle down which a person travels, often beginning with one idea that leads to revisions and further innovations.

It is not uncommon for a person to pursue a weak idea but, in the process, discover some new opportunity or new product that may not have come to light except through fruitless work on the original idea.

56 Corridors also arise from the proximity of a person who is conducting similar work and is therefore positioned to recognise change more rapidly than others.

Major Changes that Create Opportunities for Entrepreneurs slides 57–61

57 Entrepreneurs are often thought to be ‘inspired” people, and perhaps they are, but more important, they often recognise changes and opportunities that can result from a dynamic world.

Scientific knowledge, one source of change, has been rapidly advancing, and the combination of new knowledge often leads to exciting new innovations.

58 This was the case for computers as a century of periodic changes led to artificial languages, mechanics, electronics, and combinations of technology to fashion new industries in semiconductors, computers, and software.

59 Also important are rapid changes taking place in process innovations.

“Processes” are the ways we accomplish tasks, and of course, computers have revolutionised office, manufacturing, and organisational systems, but processes such as the assembly line and petroleum refining resulted in far more pervasive changes in industrialised nations.

60 Industrial changes occur for many reasons, including new knowledge and new processes, but also when there is new legislation or changes in society.

It occurs daily as new laws are passed to encourage trade, provide loans to businesses, etc.

61 Market changes occur as new competitors enter industries, as social and economic shifts occur, and as cultural norms evolve.

Markets also change as the demographic structure of a community or nation changes.

Popular Myths of Entrepreneurship and why they are More Fantasy than Fact slides 62–67

62 Perhaps the most prominent myth is that entrepreneurs are "lucky"; they were just in the right place at the right time.

Perhaps in a few cases that assumption is true, but most entrepreneurs make their luck by working hard.

63 They rarely stumble into new million-dollar enterprises but develop the marketing, manufacturing, and organising skills needed to bring innovations to fruition.

64 A similar myth is that entrepreneurs are "make or break" people; on the contrary, most ventures start slow and make incremental changes.

Entrepreneurs are not misfits, as myth suggests, but they do "disrupt" the status quo.

65 They alter the fundamental course of commerce, and in so doing, are clearly out of step with the rest of the parade.

More accurately, they are leading the parade in a new direction.

66 Whether entrepreneurs are 'born" or "made" is an unresolved issue, but on balance, evidence suggests that most entrepreneurs are influenced to start new ventures through environmental factors and events encompassing their background, education, family, and careers.

67 Finally, the myth that "all you need is money" to succeed has no credibility because few wealthy people, have pursued (or have needed to pursue) new ventures, whereas most successful companies have been founded by people with little money and few resources.

The Main Factors that Lead to Success for New Ventures slides 68–74

68 1. Perhaps the most important factor is having a good entrepreneurial team.

People transform ideas into useful innovations, and few new ventures grow beyond a preliminary start-up stage without a solid team of committed people.

69 Financial backers rarely underwrite an individual but look for a strong team with the diversity of skills and the persistence to succeed.

70 2. A second success factor is to have a well-planned enterprise that pursues incremental change and growth.

71 'It is essential to start with one distinct competency, one product or service, and firmly establish it.

To succeed, therefore, a firm must maintain positive cash flow through controlled growth.

72 3. A third factor is good timing.

The most successful firms have timed the introduction of products or services to coincide with windows of opportunity.

73 They did not take shortcuts or enter markets that were already highly competitive.

74 4. Fourth, successful entrepreneurs have instilled in their companies a sense of purpose.

They have created a business ideology to serve their customers, not to exploit them.

SMALL BUSINESSES AND CORPORATE ENTREPRENEURSHIP slides 75

75 The Environment of Small Business and How it is Changing

Small businesses comprise a large majority of enterprises in the United States, in West Africa and in particular, in Ghana.

The Environment of Small Business and How it is Changing slides 76–80

76 Although they are individually small, they account for a significant portion of GNP.

Small businesses typically provide goods and services to local markets; however, there has been a growing number of small businesses involved in global trade.

77 The environment of small business is described by local or regional conditions. Thus national trends such as unemployment may not have a direct effect on local companies.

78 Small businesses are vulnerable to some national phenomena, such as financial changes, because they often have heavy debt requirements; swings in interest rates rapidly consume a firm's cash flow.

79 Although "macro" factors are important, small business owners are more concerned with "micro" problems.

80 These include short-term cost and price changes, immediate competition, and managing the small business team.

Often small business owners are caught up in this sense of "immediacy" and fail to account for threats that arise from externalities.

The Most Common causes slides 81–90

81 for Small Business Failure

A broad and inaccurate statement often heard is that small businesses fail because of 'poor management."

That begs the question, because businesses are often fragile and particularly susceptible to external influences.

82 for Small Business Failure

These include changes in

debt availability,

interest rates,

local demand for goods and services,

regional employment trends,

production prices required by larger companies, and

government regulations.

83 for Small Business Failure

Slight changes in tax laws, for example, can quickly turn a profitable small business into an unprofitable enterprise.

84 for Small Business Failure

More important, small business owners must wear many hats, and although they are usually technically competent, they may not be adept at marketing, managing employees, controlling cash flow and finances, or strategic planning.

85 for Small Business Failure

One reason for these shortcomings is lack of experience.

Another is that many small business owners are arrogant; they simply refuse to acknowledge that they cannot do everything well; consequently, they allow their business to falter.

86 for Small Business Failure

One important “mismanagement” symptom is lack of a clear business philosophy.

Many small business persons work with blinders on, seeing only the short term potential for profits without understanding that they must create a lasting organisation capable of satisfying customers with quality goods and services.

87 for Small Business Failure

One of the most important ways to improve the odds for business success is to improve planning.

Because so few businesses are planned well before opening, counsellors and mentors have been adamant that owners should develop systematic and thorough business plans.

Recently, however, advice has been more guarded.

88 for Small Business Failure

Business owners are encouraged to plan pragmatically, giving due diligence to business issues supported by adequate market research and well-developed objectives, yet avoiding paralysis caused by overzealous planning.

89 for Small Business Failure

In addition, probabilities for success can be improved by reversing the factors of failure.

Therefore, understanding why and how small businesses fail is crucial to safeguarding against failure.

90 for Small Business Failure

Inexperience and personal shortcomings can be offset by creating a team with skills that complement those of the entrepreneur.

Lecture 03 · Feasibility planning

35 slides. Page numbers in `03-….pdf` match the slide numbers here.

ME 492 slides 1

1 Lecture 3

MANAGEMENT & ENTREPRENEURSHIP DEVELOPMENT

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A MODEL FOR NEW VENTURES: slides 2

2 FEASIBILITY PLANNING

The Concept of a Planning Paradigm for New Ventures slides 3–4

3 A planning paradigm is a model for new ventures, and although there are several models to choose from, there is no fixed set of guidelines or one ideal model.

Planning should be pragmatic – a feasibility study that gives information needed to investors and bankers for their decisions but does not entangle the entrepreneur in busywork.

4 A feasibility plan is more important to entrepreneurs to establish decision-making criteria concerning products or services, markets, and finances.

A planning paradigm is also important to help entrepreneurs envision the future of a business rather than focusing narrowly on the present.

The Four-Stage Growth Model of Entrepreneurship slides 5

5 The four-stage growth model identifies

1. Pre-start-up stage,

2. Start-up stage,

3. Early growth stage, and

4. Later growth stage.

The Four-Stage Growth Model of Entrepreneurship: Pre-start-up slides 6–7

6 The pre-start-up stage is concerned with planning the venture and preparing to open the business.

7 During this first stage, the business concept, products and services, customer scenario, markets, operating procedures, and projected financial resources, are researched and described.

In addition, the entrepreneur must assemble resources and organise the venture for opening.

The Four-Stage Growth Model of Entrepreneurship: Start-up slides 8

8 The start-up stage is concerned with initial business operations.

This is the critical period of intense development, when a venture is given the acid test of operations.

It is a stage in which "reality shock" sets in as an entrepreneur positions the business to compete in the real world.

The Four-Stage Growth Model of Entrepreneurship: Early growth slides 9

9 The early growth stage assumes the venture has been initially successful and is growing at a healthy rate.

It is a stage that requires careful co-ordination of resources so that an entrepreneur does not outrace his or her ability to underwrite growth, nor grow too slowly to be profitable.

The Four-Stage Growth Model of Entrepreneurship: Later growth slides 10

10 The fourth stage, later growth stage represents an evolution into an established enterprise when the venture must be professionally managed.

The Fundamentals of a Good Feasibility Plan slides 11–22

11 If you have to write a business plan for a new business or venture, it is important to undertake a Feasibility Study and Analysis before you do a business plan!

12 Why? Because you need to verify the enterprise is viable before you spend the time and money into doing a full-blown business plan.

Any information you gather and the time you spend on the Feasibility Analysis will be directly useful in developing the business plan.

13 The feasibility study should attempt to generate scenarios which are potentially acceptable solutions.

14 The resulting scenarios – different versions of what might be done – and all objectives that are to be addressed by the study should be used to prepare a functional specification that spells out the business plan proposal scope, objectives, financial and time constraints, and addresses the questions of technical and economic feasibility.

15 The purpose of the Feasibility Analysis is to make sure that you are on the right track – who wants to be on the wrong track.

16 Two basic questions need to be answered with the analysis:

1. Is there sufficient demand for the product or service?

2. Can the product or service be provided on a profitable basis?

17 Note that a Feasibility Analysis is not a whole study of the anticipated business – but more like a preview of the business plan with the cogent issues discussed.

18 A good feasibility plan will identify the essential information needed by investors and bankers to make decisions about equity financing or loans.

It will be succinct, yet thorough.

19 It will be clearly written and include essential details with supporting documentation without the tedious attention to detailed research that might characterise a fully developed business plan in a major company.

20 The feasibility plan is meant to be an initial effort to show that a business idea can be realised and to give reasons why it will succeed.

21 The plan will describe the entrepreneurial team and the crucial assumptions underpinning projections for success.

22 Assessing the feasibility of a proposed scenario requires an understanding of the factors (STEEP) involved:

1. social,

2. technological,

3. ecological (interactions of human beings with the environment),

4. economic and

5. political.

The Major Components in a Feasibility Plan slides 23–33

23 1. Executive summary

2. Business concept

3. Marketing Research and Analysis and the Marketing Plan

4. Manufacturing and operations section

5. Financial section.

24 The first component is the executive summary, which is a synopsis of the enterprise.

25 The second is the business concept, in which

the product or service is described,

the entrepreneur's purpose and major objectives are identified, and

the concept of how business will be conducted is defined.

26 The third section is usually the marketing section, presented here in two parts:

1. marketing research and analysis and

2. the marketing plan.

27 Marketing research identifies the customer, market niche, and assumptions of price, promotion, and distribution.

28 It is critical here to culminate in a sales forecast that clearly establishes the volume and revenue expected from business operations.

29 The marketing plan

1. focuses on strategies employed to make the business succeed, and

2. it defines the pricing, promotional mix, distribution system, and responsibility for marketing.

30 The next component is the manufacturing and operations section which describes how business is conducted.

31 A manufacturer will describe

facilities,

technology,

materials,

processes,

human resource requirements, and

administrative systems.

32 A service firm will identify most of the same elements but will emphasize human resource requirements and skills.

An important component is devoted to the entrepreneurial team.

In this section, principal people are identified and their responsibilities delineated.

33 Finally, a financial section will provide financial statements that include at least profit-and-loss, cash-flow, and projected balance sheet summaries for a minimum of three years.

In addition, a break-even analysis and, when needed, a development plan will be presented.

Planning Responsibilities and slides 34–35

34 Ways in which Entrepreneurs can get Assistance

The entrepreneur is ultimately responsible for the feasibility plan, but there are many ways to find help.

The National Board for Small Scale Industries (NBSSI) has specific programmes to assist new ventures.

35 Ways in which Entrepreneurs can get Assistance

Major consulting firms also have small business divisions.

Entrepreneurship consultants provide assistance, and Chambers of Commerce can direct entrepreneurs toward help.

In addition, some universities have centres for entrepreneurship specifically developed to help new ventures.

Lecture 04 · Market research

37 pages, taken from the PDF.

ME 492 Marketing Research page 1

Marketing Research page 2

Marketing research is the systematic gathering, recording and analyzing of data about problems relating to the marketing of goods and services.

Market research will give you the data you need to identify and reach your target market at a price customers are willing to pay.

3 Marketing research focuses and organizes marketing information. It permits entrepreneurs to:

Spot current and upcoming problems in the current market

Reduce business risks

Identify sales opportunities

Develop plans of action

Market Research page 4

Successful marketing requires timely and relevant market information.

An inexpensive research program, based on questionnaires given to current or prospective customers, can uncover dissatisfaction or possible new products or services.

5 Marketing research is not a perfect science. It deals with people and their constantly changing feelings and behaviors, which are influenced by countless subjective factors.

To conduct marketing research, you must gather facts and opinions in an orderly, objective way to find out what people want to buy, not just what you want to sell them.

6 Market research will identify trends that affect sales and profitability.

Population shifts

Legal developments

The local economic situation should be monitored to quickly identify problems and opportunities

Keeping up with competitors' market strategies also is important.

7 Every small business owner must ask the following questions to devise effective marketing strategies:

Who are my customers and potential customers?

What kind of people are they?

Where do they live?

Can and will they buy?

8 Am I offering the kinds of goods or services they want at the best place, at the best time and in the right amounts?

Are my prices consistent with what buyers view as the product's value?

Are my promotional programs working?

What do customers think of my business?

How does my business compare with my competitors?

Why do market research? page 9

People will not buy products or services they do not want.

Learning what customers want and how to present it drives the need for marketing research.

Small business has an edge over larger businesses in this regard.

Small business owners have a sense of their customers' needs from years of experience, but this informal information may not be timely or relevant to the current market.

How to do market research page 10

Analyze returned items.

Ask former customers why they've switched.

Look at competitors' prices.

Formal marketing research simply makes this familiar process orderly. It provides a framework to organize market information.

Market research - the process page 11

Market research can be simple or complex.

You might conduct simple market research.

Example: Questionnaire in your customer bills to gather demographic information about your customers

You might conduct complex research.

Example: Hiring a professional market research firm to conduct primary research to aid in developing a marketing strategy to launch a new product

12 Regardless of the simplicity or complexity of your marketing research project, you'll benefit by reviewing the following seven steps in the market research process. 1 2 3 4 5 6 7

Step 1: Define Marketing Problems and Opportunities page 13

You are trying to launch a new product or service.

Awareness of your company and its products or services is low.

The market is familiar with your company, but still is not doing business with you.

Your company has a poor image and reputation.

Your goods and services are not reaching the buying public in a timely manner. Opportunity Problem Problem Problem Problem

Step 2: Set Objectives, Budget and Timetables page 14

Objectives page 15

Explore the nature of a problem so you may further define it.

Determine how many people will buy your product packaged in a certain way and offered at a certain price.

Test possible cause- and effect- relationships.

For example, if you lower your price by 10 percent, what increased sales volume should you expect?

What impact will this strategy have on your profit?

Budget page 16

Your market research budget is a portion of your overall marketing budget.

Allocate a small percentage of gross sales for the most recent year to use on market research.

It's usually about 2 percent for an existing business.

Planning to launch a new product or business?

You may want to increase your budget to as much as 10 percent of your expected gross sales.

Other methods include analyzing and estimating the competition's budget and calculating your cost of marketing per sale.

Timetables page 17

Prepare a detailed timeline to complete all steps of the market research process.

Establish target dates that will allow the best accessibility to your market.

For example, a holiday greeting card business may want to conduct research before or around the holiday season buying period, when its customers are most likely to be thinking about their purchases.

Step 3: Select Research Types, Methods and Techniques page 18

Two types of research are available:

Primary research is original information gathered for a specific purpose.

Secondary research is information that already exists somewhere.

Secondary Research page 19

Secondary research is faster and less expensive than primary research.

Gathering secondary research may be as simple as making a trip to your local business support center (BRCs in local municipalities/districts) or browsing the Internet.

It utilizes information already published.

Surveys, books, magazines, etc.

Secondary Research Cont. page 20

Localized figures provide better information as local conditions might buck national trends.

Newspapers and other local media are helpful.

Many sources of secondary research material are available. It can be found in:

Libraries

Colleges

Trade and general business publications and newspapers

Trade associations and government agencies are rich sources of information.

Example of Secondary Research page 21

An article may show how much working mothers spent on convenience foods last year.

If you were thinking about selling a convenience food, this information would show you what kind of market there is for convenience foods.

It doesn't show you how much they are willing to spend on your particular product.

Primary Research page 22

Primary research can be as simple as asking customers or suppliers how they feel about a business, or as complex as surveys conducted by professional marketing research firms.

Examples of primary research are:

Direct-mail questionnaires

On-line or telephone surveys

Experiments

Panel studies

Test marketing

Behavior observation

Primary Research page 23

Primary research is divided into reactive and nonreactive research.

Nonreactive

Observes how real people behave in real market situations without influencing that behavior

Reactive research

Includes surveys, interviews and questionnaires

This research is best left to marketing professionals, as they usually can get more objective and sophisticated results.

Primary Research Cont. page 24

Those who can't afford high-priced marketing research services should consider asking nearby college or university business schools for help.

Step 4: Design Research Instruments page 25

The most common research instrument is the questionnaire. Keep these tips in mind when designing your market research questionnaire.

Keep it simple. Include instructions for answering all questions

Begin the survey with general questions and move toward more specific questions.

Design a questionnaire that is graphically pleasing and easy to read.

26 Before printing the survey, ask a few people to complete the survey and give feedback.

Mix the form of the questions for different sections of the questionnaire

Scales

Rankings

Open-ended questions

Closed-ended questions

The form or way a question is asked may influence the answer given. Questions are in two forms: closed-end questions and open-end questions.

Closed-ended questions page 27

Types of closed-ended questions include:

Multiple choice questions

"Yes" or "No" questions

Scales refer to questions that ask respondents to rank their answers or measure their answer at a particular point on a scale.

For example, a respondent may have the choice to rank his/her feelings toward a particular statement. The scale may range from "Strongly Disagree" "Disagree" and "Indifferent" to "Agree" and "Strongly Agree."

Open-ended questions page 28

Respondents answer questions in their own words.

Types of open-ended questions include:

Word association questions ask respondents to state the first word that comes to mind when a particular word is mentioned.

Fill-in-the blank

For example, a question might read: "When I eat toast and jelly, I use ______brand of jelly and it usually costs about _________ per jar.

Step 5: Collect Data page 29

To obtain clear, unbiased and reliable results, collect the data under the direction of experienced researchers.

Before beginning data collection, You must to train, educate and supervise your research staff.

Untrained staff conducting primary research will lead to interviewer bias.

Step 5 Cont. page 30

Stick to the objectives and rules associated with the methods and techniques you have set in Step 2 and Step 3.

Be as scientific as possible in gathering your information.

Step 6: Organize and Analyze the Data page 31

Once data has been collected, it needs to be cleaned.

Cleaning research data involves editing, coding and tabulating results.

Start with a simply designed research instrument or questionnaire.

32 Look for data focusing on immediate market needs.

Rely on subjective information only as support for more general findings of objective research.

Analyze for consistency; compare the results of different methods of your data collection.

Look for common opinions that may be counted together.

Read between the lines. For example, combine U.S. Census Bureau statistics on median income levels for a given location and the number of homeowners vs. renters in the area.

Step 7: Present and Use Market Research Findings page 33

Once marketing information is collected and analyzed, present it in an organized manner to the decision makers of the business.

You may want to report your findings in the market analysis section of your business plan.

You may want to familiarize your sales and marketing departments with the data or conduct a companywide informational training seminar using the information.

Assess Available Information page 34

Assess the information that is immediately available.

You may have the information you need to support your marketing plan without doing extensive market research.

Weigh the cost of gathering more information against its potential usefulness.

Gather Additional Information page 35

Before considering surveys or field experiments, look at currently held information:

Sales records

Complaints

Receipts

Other records that show where customers live and work, and how and what they buy.

Additional Information Cont. page 36

Credit records are an excellent source of information. They give information about:

Customers' jobs

Income levels

Marital status

Employees may be the best source of information about customer likes and dislikes.

They hear customers' minor gripes about the store or service - the ones customers don't think important enough to take to the owner.

Employees are aware of the items customers request that you do not stock.

They often can supply good customer profiles from their day-to-day contacts.

37 Visit Business Resource Centers the your Municipal Assemblies

GEA https://gea.gov.gh/youngafricaworks/nss/

Business Incubation centers e.g. KNUST Incubation Center

SMEs support organization Additional Resources

Lecture 08 · Organising the new venture

15 slides. Page numbers in `08-….pdf` match the slide numbers here.

ME 492: slides 1

1 MANAGEMENT AND ENTREPRENEURSHIP DEVELOPMENT

Prof. S.H.M. AIKINS

Department of Agricultural and Biosystems Engineering

Faculty of Mechanical and Chemical Engineering

College of Engineering, KNUST

2 ORGANISING AND FINANCING NEW VENTURES

INTRODUCTION slides 3–6

3 Today's entrepreneur operates in a competitive environment characterised by the constraining forces of

1. governmental regulation,

2. competition, and

3. resources.

4 In regard to resources, no firm has access to unlimited amount of resources.

So in order to compete effectively, the entrepreneur or entrepreneurial team must allocate resources efficiently.

5 Three kinds of resources are available to the entrepreneur:

human

material and

financial

6 This section of the course will focus on

"Organising and Financing new ventures."

Organising and Financing New Ventures slides 7

7 A business venture must be legally structured in such a way as to reflect a logical organisation consistent with the firm's purpose.

Organisation Structure slides 8–10

8 The Organisation structure defines members' jobs and communication and relationship these jobs have with each other.

9 Organisational structure refers to the division of authority, responsibility, and duties among members of an organisation.

10 Organisational structures are systems that determine how specific activities are carried out, co-ordinated and supervised within a business.

Organisation Chart slides 11–12

11 An organisation chart or organigramme or organogramme is a diagram that shows the structure of an organisation and the relationships and relative ranks of its parts and positions/jobs.

12 *Picture only. Nothing to read. Open slide 12 in the deck if you need it.*

Forms of Business Ownership slides 13–15

13 A small catering service business is unlikely to establish a corporation with a complex board of directors, and a manufacturing company e.g. Coca Cola or VALCO is unlikely to have a sole proprietorship with unlimited accountability vested in one person.

14 No one legal form of organisation, or for that matter no combination of two or more of them is suited to each and every small business.

To try to say what is the best form for all enterprises would be like trying to select an all purpose suit for a man (or woman).

15 In choosing a legal form of organisation, consideration to parties concerned must be made –

their likes, dislikes, and dispositions, their immediate and long-range needs and

their tax situations, if ever, does any one factor completely determine which is best.

Lecture 09 · Forms of business ownership

91 slides. Page numbers in `09-….pdf` match the slide numbers here.

ME 492: slides 1

1 MANAGEMENT AND ENTREPRENEURSHIP DEVELOPMENT

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Faculty of Mechanical and Chemical Engineering

College of Engineering, KNUST

2 LEGAL FORMS OF BUSINESS OWNERSHIP

Legal forms of business ownership slides 3–5

3 One of the first decisions you will need to make in starting a business is choosing a form of ownership.

4 Before deciding how to organise an operation, prospective entrepreneurs need to identify the legal structure that will best suit the demands of the venture.

5 The necessity for this is caused by

changing tax laws,

liability situations,

the availability of capital, and

the complexity of business formation.

Starting a New Venture slides 6

6 You can form a business in several ways. The three major forms of business ownership are

1. sole proprietorships

2. partnerships, and

3. corporations.

Sole Proprietorship slides 7

7 A SOLE PROPRIETOSHIP is a business that is owned, and usually managed, by one person.

Sole proprietorship is the most common form of business ownership.

Partnership slides 8–9

8 Many people lack the money, time, or desire to run a business on their own.

They prefer to have someone else or some group of people get together to form the business.

9 When two or more people legally agree to become co-owners of a business, the organisation is called a PARTNERSHIP.

A Corporation slides 10–12

10 There are advantages to creating a business that is separate and distinct from the owners.

11 A legal entity with authority to act and have liability separate from its owners is called a CORPORATION.

12 A Corporation is a business organisation chartered by the state to conduct business as an “artificial person” and owned by one or more persons called shareholders.

Advantages of Sole Proprietorships slides 13–19

13 1. Ease of starting and ending the business

2. Being your own boss

3. Pride of ownership

4. Retention of profit

5. No special taxes

14 1. Ease of starting and ending the business

All you have to do to start a sole proprietorship is buy or lease the needed equipment (for example, a computer or word processor, photocopy machine, tractor, or lawn mower) and generate some form of an announcement that you are in business.

15 1. Ease of starting and ending the business

It’s just as easy to get out of business; you simply stop.

There’s no one to consult or to disagree with about such decisions.

You may have to get a permit or license from the local government, but that’s often no problem.

16 2. Being your own boss

“Working for others simply doesn’t have the same excitement as working for yourself,” many sole proprietors say.

You may make mistakes, but they’re your mistakes – and so are the many small victories each day.

17 3. Pride of ownership

People who own and manage their own businesses are rightfully proud of their work.

They deserve all the credit for taking the risks and providing needed goods or services.

18 4. Retention of profit

Other than the joy of being your own boss, there’s nothing like the pleasure of knowing that you can make as much as you can and don’t have to share that money with anyone else (except the government, in taxes).

19 5. No special taxes

All the profits of a sole proprietorship are taxed as the personal income of the owner, and he or she pays the normal income tax on that money.

Disadvantages of Sole Proprietorships slides 20–30

20 1. Unlimited liability

2. Limited financial resources

3. Difficulty in management

4. Overwhelming time commitment

5. Few fringe benefits

6. Limited growth

7. Limited life span

21 1. Unlimited liability:

The risk of losses. When you work for others, it's their problem if the business isn't profitable.

When you own your own business, you and the business are considered one.

22 1. Unlimited liability

You have unlimited liability; that is, any debts or damages incurred by the business are your debts and you must pay them, even if it means selling your home, your car and so forth.

This is a serious risk – one that requires thought and discussion with a lawyer, insurance agent, and others.

23 2. Limited financial resources

Funds available to the business are limited to the funds that the one (sole) owner can gather.

Since there are serious limits to how much money one person can raise, partnerships and corporations have a greater probability of recruiting the needed financial backing to start a business and keep it going.

24 3. Difficulty in management

Most businesses need some management; that is, someone must keep inventory records, accounting records, tax records, and so on.

25 3. Difficulty in management

Many people who are skilled at selling things or providing a service aren't so skilled in keeping records.

Sole proprietors may have no one to help them. It's often hard to find good, qualified people to help run the business.

26 4. Overwhelming time commitment

It's hard to own a business, manage it, train people, and have time for anything else in life.

The owner must spend long hours working.

27 4. Overwhelming time commitment

The owner of a store, for example may put in 12 hours a day at least six days a week – almost twice the hours worked by a salaried labourer.

Imagine how this time commitment affects the sole proprietor's family life.

28 5. Few fringe benefits

If you're your own boss, you lose the fringe benefits that come from working for others.

You have no health insurance, disability insurance, no sick leave, no vacation pay, and so on.

These benefits may add up to 30 percent or more of a worker's income.

29 6. Limited growth

If the owner becomes incapacitated, the business often comes to a standstill.

Expansion is often slow since a sole proprietorship relies on its owner for most of its creativity, business know-how, and funding.

30 7. Limited life span

If the sole proprietor dies or retires, the business no longer exists unless it's sold or taken over by the sole proprietor's heirs.

Partnerships slides 31–32

31 A partnership is a legal form of business with two or more owners.

32 There are several types of partnerships:

1. General Partnerships,

2. Limited Partnerships, and

3. Master Limited Partnerships.

General Partnership slides 33

33 A general partnership is a partnership in which all owners share

in operating the business and

in assuming liability for the business's debts.

Limited Partnership slides 34

34 A limited partnership is a partnership with one or more general partners and one or more limited partners.

General and Limited Partnership slides 35

35 A general partner is an owner (partner) who has unlimited liability and is active in managing the firm.

A limited partner risks an investment in the firm, but enjoys limited liability and cannot legally help manage the company.

Limited liability slides 36

36 Limited liability means that limited partners aren't responsible for the business's debts beyond the amount of their investment - their liability (debts they must pay) is limited to the amount they put into the company; their personal assets aren't at risk.

Master Limited Partnership (MLP) slides 37

37 A new form of partnership, the master limited partnership (MLP), is much like a corporation in that it acts like a corporation and is traded on stock exchanges like a corporation, but is taxed like a partnership and thus avoids the corporate income tax.

Advantages of Partnerships slides 38–40

38 1. More Financial Resources

2. Shared Management and Pooled Knowledge

3. Longer Survival

39 1. More financial resources:

Naturally, when two or more people pool their money and credit, it's easier to pay the business's rent, utilities, and other bills.

40 1. More financial resources:

A limited partnership is specially designed to help raise capital (money).

A limited partner invests money in the business, but can't legally have any management responsibility and has limited liability.

2. Shared management and pooled knowledge slides 41

41 It's simply much easier to manage the day-to-day activities of a business with carefully chosen partners than to do it alone.

Partners give each other free time from the business and provide different skills and perspectives.

Many people find that the best partner is a spouse. That's why you see many husband-wife teams managing restaurants, service shops, and other businesses.

3. Longer survival slides 42

42 Partnerships may be more likely to succeed than sole proprietorships.

Having a partner helps a businessperson to become more disciplined because someone is watching over him or her.

Disadvantages of Partnerships slides 43–44

43 1. Possibility of conflict and tension

2. Unlimited Liability

3. Division of profits

4. Disagreements among Partners

5. Difficult to Terminate

44 1. Possibility of conflict and tension

1. Any time two people must agree on anything, there's the possibility of conflict and tension.

Partnerships have caused splits among families, friends, and marriages.

2. Unlimited Liability slides 45

45 Each general partner is liable for the debts of the firm, no matter who was responsible for causing those debts.

You're liable for your partners' mistakes as well as your own.

Like a sole proprietor, general partners can lose their homes, cars, and everything else they own if the business is sued by someone.

3. Division of profits slides 46

46 Sharing the risk means sharing the profit, and that can cause conflicts.

For example, two people form a partnership; one puts in more money and the other puts in more hours.

Each may feel justified in asking for a bigger share of the profits. Imagine the resulting conflicts.

4. Disagreements among Partners slides 47

47 Disagreements over money are just one example of potential conflict in a partnership.

Who has final authority over employees?

Who hires and fires employees?

Who works what hours?

What if one partner wants to buy expensive equipment for the firm and the other partner disagrees?

Disagreements among Partners slides 48

48 Potential conflicts are many.

Because of such problems, all terms of partnership should be spelt out in writing to protect all parties and to minimise misunderstanding in the future.

5. Difficult to Terminate slides 49–50

49 Once you've committed yourself to a partnership, it's not easy to get out of it.

Sure, you can end a partnership by just saying, "I quit."

However, questions about who gets what and what happens next are often difficult to solve when the business is closed.

50 Surprisingly, law firms often have faulty partnership agreements and find that breaking up is hard to do.

How do you get rid of a partner you don't like?

It's best to decide that up front - in the partnership agreement.

Partnerships slides 51

51 The best way to learn about the advantages and disadvantages of partnerships is to interview people with experience doing such agreements.

They'll give you insights and hints on how to avoid problems.

How to Form a Partnership slides 52–62

52 It's not hard to form a partnership, but it's wise for each prospective partner to get the counsel of a lawyer experienced with such agreements.

53 Lawyers' services are usually expensive, so would-be partners should read all about partnerships and reach some basic agreements before calling a lawyer.

54 For your protection, be sure to put your partnership agreement in writing.

The following may be included in a written partnership agreement:

55 1. The name of the business.

2. The names and addresses of all partners.

3. The purpose and nature of the business, the location of the principal offices, and any other locations where the business will be conducted.

56 4. The date the partnership will start and how long it will last.

Will it exist for a specific length of time or will it stop when one of the partners dies or when the partners agree to discontinue?

57 5. The contributions made by each partner:

Will some partners contribute money, while others provide real estate, personal property, expertise, or labour?

When are the contributions due?

58 6. The management responsibilities:

Will all partners have equal voices in management or will there be senior and junior partners?

59 7. The duties of each partner.

8. The salaries and drawing accounts of each partner.

9. Provision for sharing of profits or losses.

60 10. Provision for accounting procedures.

Who'll keep the accounts?

What bookkeeping and accounting methods will be used?

Where will the books be kept;?

61 11. The requirements for taking in new partners.

12. Any special restrictions, rights, or duties of any partner.

13. Provision for a retiring partner.

62 14. Provision for the purchase of a deceased or retiring partner's share of the business.

15. Provision for how grievances will be handled.

16. Provision for how to dissolve the partnership and distribute the assets to the partners.

Corporations slides 63–65

63 A legal entity with authority to act and have liability separate from its owners is called a CORPORATION.

64 A corporation is a legal business entity, created by law and managed through a board of directors who are responsible to shareholders (stockholders) for appointing and directing operating officers.

65 One fear of owning your own business or having a partner is the fear of losing everything you own if the business loses a lot of money or someone sues the business.

Many businesspeople try to avoid this and the other disadvantages of sole proprietorships and partnerships by forming corporations.

Advantages of Corporations slides 66–68

66 1. More money for investment

2. Limited Liability

3. Size

4. Perpetual Life

5. Ease of Ownership Change

6. Ease of Drawing Talented Employees

7. Separation of ownership from management

67 1. More money for investment:

To raise money, a corporation sells ownership (share or stock) to anyone who's interested.

This means that millions of people can own part of the Company.

If a company sold 10 million shares for $50 each, it would have $500 million available to build plants, buy materials, hire people, build products, and so on.

68 Such a large amount of money would be difficult to raise any other way.

Corporations may also find it easier to obtain loans since lenders find it easier to place a value on the company when it can review how the share (stock) is trading.

Limited Liability slides 69

69 A major advantage of corporations is the limited liability of owners.

Corporations in England and Canada often have the letters Ltd. after their name, as in British Motors, Ltd.

Ltd. stands for limited liability, which is probably the most significant advantage of corporations.

Limited liability means that the owners of a business are responsible for losses only up to the amount they invest.

Size slides 70–72

70 Size summarises many advantages of corporations.

Because they have large amounts of money to work with, corporations can build large, modern factories with the latest equipment.

They can also hire experts or specialists in all areas of operation.

71 Furthermore, they can buy other corporations in other fields to diversify their risk. (This means that a corporation can be involved in many businesses at once so that if one fails, the effect on the total corporation is lessened.)

In short, a major advantage of corporations is that they have the size and resources to take advantage of opportunities anywhere in the world.

72 Corporations don’t have to be large to enjoy the benefits of incorporating.

Many doctors, lawyers, engineers and individuals and partners in a variety of businesses have incorporated.

4. Perpetual Life slides 73

73 Because corporations are separate from the people who own them, the death of one or more owners doesn’t terminate the corporation.

5. Ease of Ownership Change slides 74

74 It’s easy to change the owners of a corporation.

Simply sell the share to someone else.

6. Ease of Drawing Talented Employees slides 75–76

75 Corporations can attract skilled employees by offering such benefits as stock options (i.e. the right to purchase shares of the corporation for a fixed price or Rights to purchase a corporation's stock at a specified price).

76 Stock options constitute part of remuneration. They are used for all internal employees and represent an incentive to increase the value of the company on a sustained basis.

7. Separation of ownership from management slides 77

77 Corporations can raise money from many different investors without getting them involved in management.

The Corporate Hierarchy: slides 78–79

78 How owners affect management

Owners/shareholders (elect Board of Directors)
Board of directors (Hire Officers)
Officers (set corporate objectives and select managers)
Managers (supervise employees)
Employees

79 How owners affect management

The Corporate Hierarchy Table shows that the owners/shareholders are separate from the managers and employers.

The owners elect a board of directors.

The directors select the officers. They, in turn, hire managers and employees.

The owners thus have some say in who runs the corporation, but no control.

Disadvantages of Corporations slides 80–81

80 1. Initial cost

2. Paperwork

3. Two Tax Returns

4. Size

5. Difficulty of termination

6. Double taxation

81 1. Initial cost

Incorporation may be costly and involve expensive lawyers and accountants.

2. Paperwork slides 82

82 The papers to be filed to start a corporation are just the beginning.

Tax laws demand that a corporation prove all its expenses and deductions are legitimate.

A corporation, therefore, must process many forms. A sole proprietor or partnership may keep rather broad accounting records; a corporation, on the other hand, must keep detailed records, the minutes of meetings, and more.

3. Two Tax Returns slides 83–84

83 If an individual incorporates, he or she must file both a corporate tax return and an individual tax return.

The corporate tax return can be quite complex.

84 [(A Tax Return is a document giving the tax collector information about the taxpayer's tax liability).

A Tax Return is a report filed with a national or local tax authority for determining the amount of taxation, usually consisting of forms completed by a taxpayer].

4. Size slides 85

85 Size may be one advantage of corporations, but it can be a disadvantage as well.

Large corporations sometimes become too inflexible and too tied down in red tape to respond quickly to market changes.

5. Difficulty of termination slides 86

86 Once a corporation is started, it's relatively hard to end.

6. Double taxation slides 87

87 Corporate income is taxed twice

First, the corporation pays tax on income before it can distribute any to stockholders.

Then the stockholders pay tax on the income (dividends) they receive from the corporation.

How to Form a Corporation slides 88–91

88 1. The corporations name (Choose an available business name that complies with your country's corporation rules).

The name of your corporation must comply with the rules of your country's corporation division.

The following guidelines generally apply:

The name cannot be the same as the name of another corporation on file with the corporations office.

89 The name must end with a corporate designator, such as "Corporation," "Incorporated," "Limited," or an abbreviation of one of these words (Corp., Inc., or Ltd.).

The name cannot contain certain words prohibited by the country, such as Bank, Cooperative, Federal, National, or Reserve.

90 2. The names of the people who incorporated it.

3. Its purposes.

4. Its duration (usually perpetual).

5. The number of shares that can be issued, their voting rights, and any other rights the share have.

91 6. The corporations minimum capital.

7. The address of the corporation's office.

8. The name and address or the person responsible for the corporation's legal service.

9. The names and addresses of the first directors.

10. Any other public information the incorporators wish to include.

Lecture 10 · Financing the new venture

87 slides. Page numbers in `10-….pdf` match the slide numbers here.

ME 492: slides 1

1 MANAGEMENT AND ENTREPRENEURSHIP DEVELOPMENT

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2 FINANCING NEW VENTURES

Financing New Ventures slides 3–9

3 1. What is Capital Management for New Ventures?

2. Financing New Ventures: Capital Requirements

4 3. Types of Financing:

Short term credit,

Intermediate, and

Long term credit.

4. Sources of Funding

5 A major concern of every entrepreneur is how to create and maintain sufficient capital to conduct business.

6 Careful financial planning and control – are means to alleviate this concern of creating and maintaining sufficient capital to conduct business.

7 Few entrepreneurs, if any, have enough money available at all times to finance daily business operations and meet long-term investment requirements.

8 Hence, the entrepreneur's ability to obtain money and to secure credit is essential to sustaining a healthy financial situation.

9 Capital management involves planning and controlling, the entrepreneur's equity capital (what the entrepreneur owns) and borrowed capital (money - the entrepreneur has obtained from outside sources).

Financing New Ventures: slides 10–16

10 Capital Requirements

An entrepreneur needs money for a variety of purposes:

1. Fixed capital

2. Working capital

3. Liquid capital

11 Capital Requirements

Fixed capital is money needed to purchase such physical facilities as buildings, fixtures, and equipment.

This type of capital requirement (Fixed capital) represents long term investments that tie up capital for extended periods.

12 Capital Requirements

Working capital is money needed to meet day to day operating costs.

It is used to pay the rent and utility bills, to purchase inventories, and to cover payroll expenses.

13 Capital Requirements

Liquid Capital or Fluid Capital is money held in reserve for emergency situations, usually in the form of cash or disposable securities (e.g. stocks, bonds, certificates of deposit).

14 Capital Requirements

Liquid Capital or Fluid Capital is a readily convertible asset, such as money or other bearer economic instruments, as opposed to a long term asset like real estate.

15 Capital Requirements

The amount of fixed, working, and liquid capital required by a particular entrepreneur operation is a function of the size and nature of that operation.

16 Capital Requirements

Capital requirements for larger entrepreneurs are greater than those for smaller entrepreneurs, (ceteris paribus) other things being equal.

Types of Financing slides 17–25

17 The first step an entrepreneur takes in securing capital funds is determining what kind of money is needed.

1. Fixed capital

2. Working capital

3. Liquid capital

18 The entrepreneur’s purpose for the money (e.g., for use as fixed, working or liquid capital) determines the type of financing.

19 There are three types of financing:

1. Short term credit,

2. Intermediate term credit, and

3. Long term credit.

20 1. Short-term credit is money the entrepreneur can borrow for less than one year.

21 Lending institutions provide entrepreneurs with short term loans primarily for working capital.

For example, banks extend short term credit to entrepreneurs to purchase next season’s inventory. In such cases, the loans are self liquidating because they generate sales cash.

22 2. Intermediate term credit usually is offered for periods longer than one year but less than five years.

Entrepreneurs secure such loans to finance smaller, fixed capital expenditures (e.g., fixtures and equipment).

23 3. Long-term credit takes the form of loans that entrepreneurs secure for periods greater than five years.

24 Typically, entrepreneurs use long-term financing to purchase major fixed capital investments such as

buildings and land.

25 For both intermediate and long term credit, the entrepreneur must make periodic instalment payments (monthly, quarterly, or annually) from earnings.

Sources of Funding slides 26–29

26 For both intermediate and long term credit, the entrepreneur must make periodic instalment payments (monthly, quarterly, or annually) from earnings.

27 To obtain funds, entrepreneurs can turn to a number of sources, including

debt

equity, and

the government, etc

(vendors, lending institutions)

28 Determining which source to use depends on

1. the type of financing the entrepreneur needs (short, intermediate, and long term credit),

2. the nature and size of the business, and

3. the entrepreneur's particular financial condition. To obtain funds, entrepreneurs can turn to a number of sources, including

29 Most entrepreneurs find it necessary to tap several sources of funds.

Sources of Funding: Debt Financing slides 30–41

30 Debt financing involves the use of borrowed money to finance a business.

31 Debt financing is financing in which a business gets a loan and go into debt.

The venture is obligated to repay the loan at a predetermined interest rate.

32 Long-term debt (term loans of one to five years or long term loans maturing in more than five years) is used to finance the purchase of property or equipment, with the purchased asset serving as collateral for the loans.

33 The most common sources of debt financing are commercial banks.

34 Debt financing is a method involving an interest-bearing instrument, usually a loan, the payment of which is only indirectly related to the sales and profits of the venture.

35 Debt financing (or called asset-based financing) requires that some asset (such as a car, house, plant, machine or land) be used as collateral.

36 Debt financing requires the entrepreneur to pay back the amount of funds borrowed, plus a fee expressed in terms of the interest rate and sometimes points for using or being able to use the money.

37 If the financing is short-term (less than one year), the money is usually used to provide working capital to finance inventory, accounts receivable, or the operation of the business.

The funds are typically repaid from the resulting sales and profits during the year.

38 Long term debt (lasting more than one year) is frequently used to purchase some asset such as a piece of machinery, land, or a building, with part of the value of the asset (usually from 50 to 80 percent of the total value) being used as collateral for the long-term loan.

39 When interest rates are low, debt (as opposed to equity) financing allows the entrepreneur to retain a larger ownership portion in the venture and have a greater return on equity.

40 The entrepreneur needs to be careful that the debt is not so large that regular interest payments become difficult if not impossible to make, and growth and development are inhibited or bankruptcy results.

41 To secure a bank loan, an entrepreneur typically will have to answer a number of questions.

Debt Financing slides 42–54

42 Five of the most common questions, together with descriptive commentaries follow:

43 1. What do you plan to do with the money?

Do not plan on using funds for a high risk venture.

Banks seek the most secure venture possible.

44 2. How much do you need: Some entrepreneurs go to their bank with no clear idea of how much money they need.

45 All they know is that they want money.

The more precisely the entrepreneur can answer this question, the more likely the loan will be granted.

46 3. When do you need it?

Never rush to the bank with immediate requests for money with no plan.

47 Such a strategy shows that the entrepreneur is a poor planner, and most lenders will not want to get involved.

48 4. How long will you need it?

The shorter the period of time the entrepreneur needs the money, the more likely he or she is to get the loan.

49 The time at which the loan will be re-paid should correspond to some important milestone in the business plan.

50 5. How will you repay the loan? This is the most important question.

What if plans go wrong (awry)?

Can other income be diverted to pay off the loan?

Does collateral exist?

51 Even if a quantity of fixed assets exists, the bank may be unimpressed because it knows from experience that assets sold at a liquidation auction bring only a fraction of their value.

Five to ten cents on the dollar is not unusual.

52 Debt financing has both advantages and disadvantages.

53 Advantages of Debt Financing

1. No relinquishment of ownership is required.

2. More borrowing allows for potentially greater return on equity.

3. During periods of low interest rates, the opportunity cost is justified since the cost of borrowing is low.

54 Disadvantages of Debt Financing

1. Regular (monthly) interest payments are required.

2. Continual Cash-flow problems can be intensified because of payback responsibility.

3. Heavy use of debt can inhibit growth and development.

Sources of Funding: Equity Financing slides 55–57

55 Equity is the term commonly used to describe the ordinary share capital of a business.

56 Equity financing does not require collateral and offers the investor some form of ownership position in the venture.

57 The investor shares in the profits of the venture, as well as any disposition of its assets on a pro rata basis.

Equity Financing slides 58–64

58 Key factors favouring the use of one type of financing over another are

the availability of funds,

the assets of the venture, and

the prevailing interest rates.

59 Usually an entrepreneur meets financial needs by employing a combination of debt and equity financing.

60 All ventures will have some equity, as all ventures are owned by someone in a market economy.

61 Although the owner may sometimes not be directly involved in the day-to-day management of the venture, there is always equity funding involved that is provided by the owner.

62 The amount of equity involved will vary by the nature and size of the venture.

In some cases, the equity may be entirely provided by the owner.

63 Larger ventures may require multiple owners, including private investors and/or venture capitalists.

This equity funding provides the basis for debt funding, which makes up the capital structure of the venture.

64 There are three main ways of raising equity finance:

1. Retaining profits in the business (rather than distributing them to equity shareholders);

2. Selling new shares to existing shareholders (a "rights issue")

3. Selling new shares to the general public and investing institutions

Internal Funds slides 65–70

65 From another perspective, financing is available from internal or external funds.

The type of funds frequently employed is internally generated funds.

66 Internally generated funds can come from several sources within the company:

1. profits,

2. sale of assets,

3. reduction in working capital,

4. extended payment terms, and

5. accounts receivable.

67 In every new venture, the start-up years involve putting all the profits back into the venture; even if outside equity investors do not expect payback in the early years.

68 Sometimes, the needed funds can be obtained by selling little-used assets.

69 Assets, whenever possible, should be on a rental basis (preferably on a lease with an option to buy), not an ownership basis, as long as there is not a high level of inflation and the rental terms are favourable.

70 This will help the entrepreneur conserve cash, which is particularly critical during the start-up phase of the company's operation.

External Funds slides 71–72

71 Alternative sources of external financing need to be evaluated on three bases:

1. the length of time the funds are available,

2. the costs involved, and

3. the amount of company control lost.

72 Government grants

Research and Development grants

Personal Funds slides 73–77

73 Few, if any, new ventures are started without the personal funds of the entrepreneur.

74 Not only are these the least expensive funds in terms of cost and control, but they are absolutely essential in attracting outside funding, particularly from banks, private investors, and venture capitalists.

75 These outside providers of capital feel that the entrepreneur may not be sufficiently committed to the venture if he or she does not have the money invested.

76 As one venture capitalist succinctly said "I want the entrepreneurs so financially committed that when the going gets tough, they will work through the problems and not throw the keys to the company on my desk."

77 An outside investor wants an entrepreneur to have committed all available assets, an indicator that he or she truly believes in the venture and will work all the necessary hours so that the venture succeeds.

Family and Friends slides 78–80

78 After the entrepreneur, family and friends are the next most common source of capital for a new venture.

They are most likely to invest due to their relationship with the entrepreneur as well as their being accessible.

79 This knowledge helps overcome one portion of uncertainty felt by impersonal investors – knowledge of the entrepreneur.

80 Family and friends provide a small amount of equity funding for new ventures, reflecting in part the small amount of capital needed for most new ventures.

Venture Capital slides 81–87

81 Venture capital is a general term to describe a range of ordinary and preference shares where the investing institution acquires a share in the business.

82 Venture capital is intended for higher risks such as start up situations and development capital for more mature investments.

83 Replacement capital brings in an institution in place of one of the original shareholders of a business who wishes to realise their personal equity before the other shareholders.

84 Venture capital is a valuable and powerful source of equity funding for new ventures.

85 Venture capital is often referred to as risk capital.

It is capital invested by an outside party in a business often as equity.

86 Venture capital is a type of equity investment usually best suited for rapidly growing companies that require a lot of capital or start-up companies with a strong business plan.

87 A typical venture capital investment usually requires sale of 25 % to 55 % of the company to the investor.